Can Paytm and PhonePe stop a newcomer from winning shopkeepers?

The premise. The plan wins shopkeepers with a daily savings habit, then lends to the ones who save well. That needs a newcomer to win, and lend to, shops that Paytm, PhonePe and BharatPe already serve. You put it as: "*the QR code strategy is not defensible.*" This note tests that. It is not written to prove it.

Half true. The QR code itself protects no one: any shop can put up another, and most already have several. But the QR was never what protects Paytm and PhonePe. What protects them is that a shop's daily takings pass through their hands, so they **take the loan instalment before the shop is paid**. That part is hard to beat, and lending is exactly where we planned to make our money.

THE QR CODE

✓ **Easy to copy**

56.9 crore QR codes for 6.5 crore shops: about 9 each. BharatPe signed up 1.3 crore+ shops from nothing after 2018.

THE SOUNDBOX ON THE COUNTER

! **Sticky**

When Paytm's share of UPI payments halved, shops paying for its devices held through the shock (1.06 → 1.07 crore) and are 1.57 crore today.

REPAYMENT TAKEN FROM THE TILL

✗ **Hard to beat**

Paytm-sourced shop loans expect 4.5%–5% losses. We break even at 7.6%, collecting by Autopay instead.

OUR SAVINGS HOOK

✗ **Already copied**

PhonePe launched a ₹100-a-day deposit on 6 Aug 2026: the same shape as ours (for consumers, so far).

What it means for us. The idea does not stand or fall on the QR. It stands or falls on a narrower question nobody has answered yet:

Can a shopkeeper's saving record, plus our own way of collecting, lend as safely as a lender who sits on the till?

Until a pilot shows it can, shopkeepers are the hardest place to start, because that is where the till-holders are strongest. Pages 2–4 show the evidence; page 5 lists four ways the idea can live with the moat.

The real moat: who gets paid first

The same ₹500 sale, and two loans. The difference is the order in which people get paid.

A Paytm or PhonePe shop loan

Customer pays ₹500 at the counter → **Their QR** they see every rupee paid on it → **Instalment taken** today's loan instalment is cut first → **Shop is paid** the rest reaches the shop's bank

They are paid BEFORE the shopkeeper.

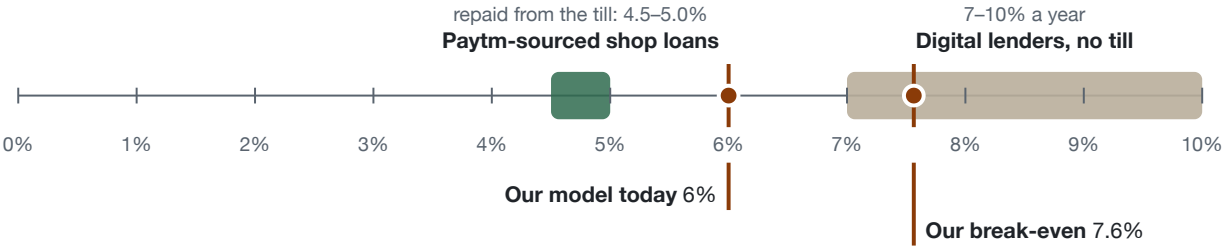
Our shop loan

Customer pays ₹500 at the counter → **Any QR** we see none of it → **Shop is paid** all of it reaches the shop's bank → **We ask next day** Autopay asks the bank for our instalment

We are paid AFTER the shopkeeper, if money is left. 55%–90% of Autopay debits failed at big banks (Aug 2025).

Where losses must land

Bad-loan losses a year, as a share of what is lent. One shopkeeper stops paying back for us above 7.6% (our break-even line from the deck).



The till-holders sit 2.6 points under our break-even. Lenders who must ask for their money, as we would, sit at or above it. The deck assumes 6%; this is why that number carries the most risk.

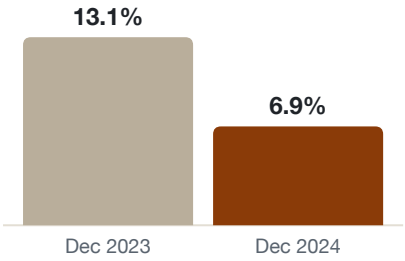
Two live tests

Two things have already happened that show which parts of the moat hold.

1. The 2024 shock: what happened when a QR giant was hit

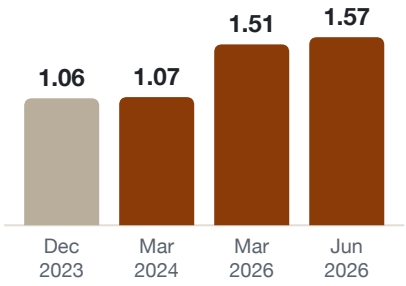
In January 2024 the RBI ordered Paytm Payments Bank to stop most of its business, and Paytm had to move shops' payouts to other banks. It is the nearest thing to a live test of which layer holds.

Customers: Paytm app's share of UPI payments



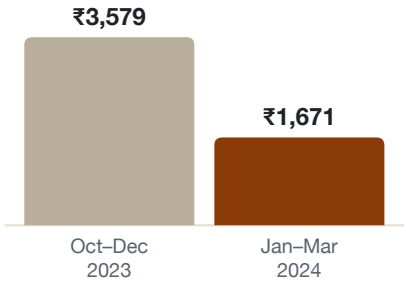
Halved in a year
customers switch apps easily

Shops paying for a Paytm device, crore



Flat through the shock, then +47%
the box on the counter stayed

Paytm shop loans given out, ₹ crore a quarter



Down 53% in one quarter
the lenders behind Paytm pulled back

before the RBI action · after

What the test says.

1. Which app customers pay with is **not** a moat. A new app can reach shopkeepers.
2. The device and the daily payout **are** a moat. Shops stayed even while Paytm was in trouble.
3. The lending is only as steady as the lenders behind it. Those lenders are partners anyone can approach, including us.

2. Khatabook: winning shops with a hook that never touches the till

> Khatabook won shopkeepers with a free ledger app. Like savings, a ledger never touches the till. Then it found it "*can't lend enough*": loans too small, data unreliable, too little presence on the ground (Morning Context, 2023). FY24: revenue ₹102.7 crore, loss ₹116.2 crore. Winning shops with a hook worked; lending off the hook did not, yet.

Layer by layer

What Paytm, PhonePe and BharatPe actually hold, and how hard each piece is to take.

1 The QR code — Easy to copy

- BharatPe launched the first QR any UPI app could pay in 2018. Since then a shop can add one more QR in a minute.
- India has 56.9 crore QR codes for 6.5 crore shops: about 9 per shop (counts include inactive ones).
- It earns little, so it locks in little: payments up to ₹2,000 stay free even after the 0.4% fee starts on 15 Oct 2026, and small shops are exempt.
- BharatPe went from zero to 1.3 crore+ registered shops, and reached break-even in FY25 before employee-stock costs.

2 The soundbox and the people on the ground — Sticky, but bought

- Paytm has 1.57 crore shops paying for a device (+27 lakh in a year). PhonePe has 91.9 lakh speakers, 25,657 staff and 31,000+ agents.
- Paytm spends up to about ₹5,000 of staff cost per device it adds (our estimate, an upper bound).
- Cracks: shops left Paytm's ₹125-a-month box for PhonePe's ₹49 one; some hand the box back once rent starts; NPCI is reported to be building one box that announces payments from any QR (not confirmed).

3 Seeing the shop's takings — Strong, but partial

- Each company sees only what comes through its own QR. PhonePe reportedly lends only to shops taking ₹15,000+ a month on PhonePe QR for 3+ months.
- With about 9 QR codes per shop, no one company sees the whole shop.
- Account Aggregator, the RBI's consent system, lets any regulated lender read a shop's whole bank statement. Lending that used it reached ₹3.82 lakh crore in FY26 (8.4% of retail and small-business lending). It shows every QR's money, if the shopkeeper agrees.

4 Taking repayment from the till — Hard to beat

- PhonePe takes a small instalment from the shop's daily payout. A missed one is added to the next day's; long misses are taken from the bank account. Paytm works the same way.
- Result: Paytm-sourced shop loans expect 4.5%–5% losses, and more than half the money goes to repeat borrowers.
- Without the till, we would collect by UPI Autopay. In Aug 2025, 55%–90% of Autopay debits failed at the big banks, mostly for lack of money.

5 Lending to shops at scale — Already there

- PhonePe's shop loans grew from ₹11 crore (FY23) to ₹4,507 crore (FY25), and ₹3,820 crore in Apr–Sep 2025 alone, 2.1× a year earlier.
- BharatPe earns 60% of its revenue from financial services, mostly shop loans of about ₹1 lakh over 11 months. Google Pay lends to shops through partners too.
- Paytm and PhonePe do not lend their own money: Paytm will not seek a lending licence, and PhonePe has applied three times since 2021. BharatPe lends 25–30% through its own lending company. The lenders behind them are partners we could also approach.

6 Our savings hook — Already copied

- PhonePe Daily Recurring Deposit: ₹100–1,000 a day, withdraw after 7 days, with Shivalik Small Finance Bank (6 Aug 2026, for consumers).
- PhonePe has offered daily saving in gold with Jar since 2024. BharatPe sells deposits to 80 lakh+ shops through its investment platform.
- A shop version is a small step for any of them. So savings can open the door, but it is not an edge they cannot copy.

What this does to our four numbers

The deck's four break-even lines for one shopkeeper, against what the till-holders show.

OUR NUMBER	WHAT THE TILL-HOLDERS SHOW	EFFECT ON US
Cost to win a shopkeeper at most ₹704 · today ₹499	Up to ~₹5,000 of staff cost per device; 56,000+ people on the ground at PhonePe alone.	**Unknown** A savings-only offer is cheaper to deliver, but these shops are already visited by others. Only a pilot can tell.
Proven savers who borrow each year at least 14% · today 20%	Their good shops already get loan offers; repeat borrowers take more than half of Paytm's loan money.	**Pushed down** The shops left for us are the ones they turn down or under-serve.
Interest rate at least 24.4% · today 26%	Quoted shop-loan prices run from about 15% to above 30% a year (low confidence).	**Not the problem** 26% sits inside the market.
Losses at most 7.6% · today 6%	4.5%–5%, with repayment from the till.	**The main risk** Lenders without the till run 7%–10%: at or above our line.

For shopkeepers, the premise that matters is losses, not the QR.

How Bachatt lives without the till

Bachatt already sells daily saving to this customer, and investors have put about $16 million into it. It does not sit on the counter, and it does not hold the loan. Two different filters are easy to mix up.

1. **Who shows up is a filter, and it is small.** Bachatt claims 3 million users since May 2025. In February 2026 it ran 2 million fund purchases. If one daily saver produces about 20 purchases a month, that is about 1 lakh people still saving: 3.3% of the people who signed up. The other 97% never become a lending problem. Our model already works this way. The cost to win and the value per shopkeeper count the person we got, not every shop on the street.
2. **Who repays is a second filter, and nobody has shown it.** Partners book Bachatt's loans, up to ₹5 lakh, so a 7%–10% loss sits on the partner, not on Bachatt. We said we would hold the loan. Holding it, and changing only the loss rate, one shopkeeper is worth ₹597 at 3% losses, ₹205 at the 6% the model assumes, and –₹319 at 10%. The 3% is the hope that people who choose to save are safer. It is not the base case.

Bachatt has published no retention, loan volume, or default figure. The funding is a bet that the second filter is real. It is not evidence that it is.

Four ways the idea can live with the moat

A. Go where no one holds the till

Salaried workers through employers: the salary deduction becomes our till. In our model, at 24% a salaried customer is worth +₹748 in the low-loss case (3% losses), but –₹153 in the normal case (6%). So it works only if deduction keeps losses low.

B. Ask for the whole bank statement

Make Account Aggregator consent part of joining. We would then see money from all of a shop's QR codes, where Paytm sees only its own.

C. Let the savings secure the loan

A year of ₹100 a day is ₹36,500, about 24% of a ₹1.5 lakh loan, if every debit succeeds. Lending against the saver's own fund units would make each loss smaller.

D. Partner instead of fighting

Be the savings product inside BharatPe's or PhonePe's app. Shops become cheap to reach, but the partner keeps the customer and the lending, which removes the business we modelled.

What the pilot must add to the four numbers it already measures:

1. How many of our savers already have a Paytm, PhonePe or BharatPe loan.
2. How many will share their bank statement through Account Aggregator.
3. What share of daily Autopay *loan instalments* succeed (not savings debits).
4. Whether shopkeepers keep saving with us when PhonePe offers ₹100 a day at the same counter.

Sources

Every figure above, one row each. "Search summary only" means the number was seen in a search engine's summary and the page itself was not opened (15 of 45 rows); treat those as reported, not checked. The tables behind this note are research/qr_moat.csv and tables/qr_moat_numbers.csv.

Id	What it says	Source	How checked
QM-01	UPI QR codes deployed	PIB (Ministry of Finance) 2025-03-31	Earlier research (NG-027)
QM-02	merchants those QR codes were deployed to	PIB (Ministry of Finance) 2025-03-31	Earlier research (NG-027)
QM-03	BharatPe launched the first interoperable UPI QR (any app can pay it) and promised zero fees to shops	YourStory; BharatPe company history 2018	Search summary only
QM-04	BharatPe registered merchants, built from zero since 2018	BharatPe (1.3 crore, 450+ cities); AngelOne on FY25 results (1.7 crore+) 2025	Search summary only
QM-05	From 15 Oct 2026 shops pay 0.4% on UPI payments above Rs 2,000 (cap Rs 300); payments up to Rs 2,000 stay free; small shops taking up to Rs 1 lakh a month are exempt	Department of Financial Services FAQ (15 Sep 2026); Business Today 2026-10-15	Earlier research (REG-052)
QM-06	Paytm merchants paying a monthly device subscription, Dec 2023 (before the RBI action)	Inc42 on Paytm Q4 FY24 results 2023-12-31	Opened: news report
QM-07	the same, Mar 2024 (after the RBI action); only 1 lakh added in the quarter, with higher attrition in Feb-Mar	Inc42 on Paytm Q4 FY24 results; Business Standard 2024-03-31	Opened: news report
QM-08	the same, Mar 2026	Paytm Earnings Release Q4 FY2026 2026-03-31	Earlier research (XB-06)
QM-09	the same, Jun 2026: +27 lakh in a year	Paytm Earnings Release Q1 FY2027 2026-06-30	Earlier research (NG-028)
QM-10	Soundbox rent: PhonePe Rs 49, Paytm Rs 125 a month; some Paytm shops moved to PhonePe for the cheaper box, and some return the box once rent starts	YourStory: fintech startups in the race for soundbox domination 2023-09	Search summary only
QM-11	PhonePe SmartSpeakers installed	PhonePe DRHP via The Hans India 2025-09-30	Earlier research (NG-029)
QM-12	PhonePe field staff (25,657) plus commissioned agents (31,000+)	PhonePe DRHP via The Hans India 2025-09-30	Earlier research (NG-029)
QM-13	Paytm sales and service staff cost per net device added (an upper bound; derived)	derived from Paytm Q1 FY27 release 2026-06-30	Earlier research (NG-043)
QM-14	NPCI is reported to be building one soundbox service that announces payments from ANY QR code	Inc42 (citing sources; NPCI did not comment) 2024	Opened: news report
QM-15	share of UPI payments made through the Paytm app, Dec 2023	Business Standard, NPCI data 2023-12-31	Search summary only
QM-16	the same, Dec 2024 (PhonePe 47.72%, Google Pay 36.7%)	Business Standard, NPCI data 2024-12-31	Search summary only

QM-17	Paytm merchant loans given out, Oct-Dec 2023	Inc42 on Paytm Q4 FY24 results 2023-12-31	Opened: news report
QM-18	the same, Jan-Mar 2024, after lenders pulled back (Piramal and Clix ended ties)	Inc42 on Paytm Q4 FY24 results 2024-03-31	Opened: news report
QM-19	PhonePe merchant loans are repaid by a small amount taken from the shop's DAILY SETTLEMENT; a missed amount is added to the next day's; long misses are taken from the linked bank account	PhonePe merchant help: How can a merchant repay a loan? 2026	Search summary only
QM-20	Paytm merchant loans: a daily EMI collected mostly from the merchant's daily settlement with Paytm	YourStory (2020); loan-comparison sites 2020-2025	Search summary only
QM-21	to get a PhonePe merchant loan a shop must take more than Rs 15,000 a month on PhonePe QR, for 3 months or more	search summary of a loan-information site 2026	Search summary only
QM-22	expected losses on Paytm-sourced merchant loans (lenders' books; Paytm collects)	Paytm Earnings Release Q4 FY2026 2026-03-31	Earlier research (XB-07)
QM-23	more than half of Paytm merchant-loan money goes to repeat borrowers	Paytm Earnings Release Q1 FY2027 2026-06-30	Earlier research (NG-028)
QM-24	lending done using Account Aggregator data in FY26 (3.68 crore loans): any regulated lender can read a customer's bank statements with consent	Sahamati data via Finahub (Aug 2026) 2026-03-31	Search summary only
QM-25	Account Aggregator share of retail and MSME lending in FY26: 8.4% by value, 11.8% by number	Sahamati data via Finahub (Aug 2026) 2026-03-31	Search summary only
QM-26	share of UPI Autopay debits that did not go through, by bank, Aug 2025 (mostly not enough money in the account)	Mint (HT Syndication), NPCI data 2025-08	Earlier research (TB-13)
QM-27	PhonePe merchant loans given out, FY23	PhonePe DRHP via Business Today 2023-03-31	Earlier research (XL-10)
QM-28	the same, FY24	PhonePe DRHP via Business Today 2024-03-31	Earlier research (XL-10)
QM-29	the same, FY25	PhonePe DRHP via Business Today 2025-03-31	Earlier research (XL-10)
QM-30	the same, Apr-Sep 2025 (Apr-Sep 2024: 1,838)	PhonePe DRHP via Business Today 2025-09-30	Search summary only
QM-31	BharatPe FY25: revenue Rs 1,667 crore; Rs 6 crore profit before tax EXCLUDING employee-stock costs (net loss Rs 88 crore); 60% of revenue from financial services, mostly shop loans; average loan Rs 1 lakh over 11 months; own lending company Trillion Loans makes 25-30% of its loans	Inc42: BharatPe's merchant-first playbook brings FY25 turnaround 2025-08-11	Opened: news report
QM-32	Paytm will NOT apply for a lending licence (May 2026); PhonePe has applied three times since 2021 with no approval reported: both pass loans to partner lenders	Medianama; Business Standard 2026-05-08	Earlier research (LEV-070)
QM-33	PhonePe Daily Recurring Deposit, Rs 100-1,000 a day, withdraw after 7 days, with Shivalik Small Finance Bank; launched 6 Aug 2026 for consumers	PhonePe press release 2026-08-06	Opened: company or regulator
QM-34	PhonePe Daily Savings in digital gold, Rs 10-5,000 a day, built with Jar (Oct 2024)	PhonePe press release 2024-09-30	Earlier research (TF-21)

QM-35	BharatPe Investment Platform lets regulated firms sell deposits and investments to its 80 lakh+ merchants	IBS Intelligence 2022	Search summary only
QM-36	Khatabook FY24: revenue Rs 102.7 crore, loss Rs 116.2 crore	YourStory (Nov 2024) 2024-03-31	Search summary only
QM-37	Khatabook 'can't lend enough to justify its valuation': small loans, unreliable data and a mostly digital presence held back lending to the shops its free ledger had won	The Morning Context 2023-05-01	Opened: news report
QM-38	Google Pay also lends to shops through partners: sachet loans from Rs 15,000 (DMI), credit lines (ePayLater, ICICI), repeat loans (Indifi)	TechCrunch 2023-10-18	Search summary only
QM-39	Shop-loan prices quoted: Paytm APR 15-46% (loan-comparison site); PhonePe up to 30% flat a year (unverified)	Paisabazaar; loan-information sites 2026	Search summary only
QM-40	losses at digital lenders that do NOT hold the borrower's till: KreditBee 7.7%, Kissht 8.5-9%, Groww 7%, Stashfin 9.9%	CRISIL, CARE and ICRA rating notes 2026	Earlier research (LEV-021, LEV-022, LEV-026, LEV-029)
QM-41	Bachatt users acquired since the May 2025 launch (company claim). The homepage has also said 10 lakh+ users; the two figures are not reconciled	Bachatt press release, Series A 2026-03-30	Earlier research (XB-03, BAC-02)
QM-42	mutual-fund transactions Bachatt executed in February 2026	Bachatt press release, Series A 2026-02	Earlier research (XB-03)
QM-43	our assumption for the estimate: a person saving every day produces about 20 fund purchases a month	note on XB-03 2026-10-02	Earlier research (XB-03 note)
QM-44	Bachatt offers loans up to Rs 5 lakh from partner banks and NBFCs and acts as a lending service provider: the partner books and holds the loan. No loan volume or default figure published	Bachatt homepage; earlier rows XB-10 and XL-12 2026	Earlier research (company claim)
QM-45	about $16 million raised: $4 million seed (Apr 2025) plus $12 million Series A led by Accel (Mar 2026). No retention figure published	Entrackr; Bachatt press release 2026-03-30	Earlier research (BAC-01)

Derived figures (computed in model/qr_moat.py): QR codes per shop = QM-01 ÷ QM-02; Paytm share fall = 1 − QM-16 ÷ QM-15; device change = QM-07 ÷ QM-06 and QM-09 ÷ QM-07; loan fall = 1 − QM-18 ÷ QM-17; PhonePe growth = QM-30 ÷ its Apr–Sep 2024 value. Bachatt daily savers = QM-42 × 1 million ÷ QM-43, then ÷ QM-41. The ₹597 and –₹319 move only the loss rate to the 3% and 10% ends of its range; every other shopkeeper input stays at today's evidence (tables/lend_breakeven.csv). Other break-even lines: the same table, and tables/lend_salaried.csv.